

For example, if a peak between turns 2 and 4 were to poke above point 2, then you wouldn't have a Wolfe wave.

EPA. The EPA line connects turns 1 and 4 and provides the exit signal. When price touches the EPA (at C), close out the trade. We'll talk more about trading later.

Focus on Failures

[Figure 76.3](#) shows an example of a Wolfe wave that appears at the top of an uptrend, one that is perhaps past its prime. A wider view would show the left shoulder of a head-and-shoulders top at D, with a head at E, and right shoulder at the Wolfe wave (probably B). Obviously, peaks 2 and 4 throw a monkey wrench into the picture, so the head-and-shoulders pattern is not ideal. However, you get the feeling that price *wants* to drop after peaking at E. So when price only climbs to B and dies, it may not come as a surprise.

The Wolfe wave is denoted by turns 1 through 5 in the figure. At turn 5, price extends below line 1–3, but that's fine provided it remains in the sweet spot (recall, that's a line drawn starting at turn 3, parallel to line 2–4), which it does.

Volume at turn 5 (A) looks perfect. It's higher than prior days, and as price climbs, volume diminishes, which is what Wolfe expects to happen in well-behaved patterns.

The EPA line (1–4) extended upward (to C) seems to have an unusually steep slope, probably too steep. Maybe the slope of the line is something you'll want to test and see if it has any significance. My guess is it does. You'll want to trade Wolfe waves with a less-steep EPA line.

In this example, price can't reach the EPA line.

If I were to buy the stock around turn 5, I'd probably exit the trade at the open the day after price closed below the 2–4 line at B. That would give me a small profit for a quick swing trade.